

External and Internal Market for Managers

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This paper studies the labor market for managers by examining both between and within firm reallocation channels. We document that around 40% of the inflows into managerial positions come from internal promotions, a flow comparable in size to the job-to-job transitions into the same roles. To capture both external and internal markets, we develop a labor search model with internal reallocation and learning while on the job. External flows depend on how firms are currently internally organized. Internal flows depend on the extent of skill accumulation of workers under managers and by external hiring and separation events. We calibrate the model using administrative establishment-employee data from Germany, which reveals a significant wage premium for managers and highlights the role of high-quality managers in worker skill accumulation. The model matches observed external and internal flows into managerial positions and provides insights into how these channels operate across the talent distribution. Finally, we explore the policy implications of targeted Non-Compete Agreements to find that restrictions on managerial mobility lead firms to fast-track promotions, hindering skill accumulation and output, while non-competes on workers reduce internal promotions, fostering skill accumulation and boosting aggregate productivity.

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